CHAPTER **3**

Agreement

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[3.05] It is generally accepted that four essential elements are necessary for contract formation: agreement, consideration, certainty and an intention to create legal relations. This chapter is concerned with the first of those elements. The existence of an agreement between the parties is usually analysed through the rules of offer and acceptance. These rules may be useful in determining whether or not the parties have reached agreement, when and where that agreement was made and on what terms. However, the rules of offer and acceptance are merely "an aid to analysis" (Greig and Davis, *The Law of Contract* (1987), p 246). They sometimes prove inconclusive or artificial. A contract can be made without an identifiable offer and acceptance, provided the parties have manifested their mutual assent.

The "acid test" in a case where offer and acceptance cannot be identified, according to Cooke J in *Meates v Attorney-General* [1983] NZLR 308, 377, "is whether, viewed as a whole and objectively from the point of view of reasonable persons on both sides, the dealings show a concluded bargain". The authorities on this point are reviewed by Heydon JA in *Brambles Holdings Ltd v Bathurst City Council* [2001] NSWCA 61; (2001) 53 NSWLR 153, extracted at [3.130]. Heydon JA concluded (at 179) that, in light of those authorities, in circumstances where the traditional approach cannot be applied it is relevant to ask:

- whether in all the circumstances an agreement can be inferred;
- whether mutual assent has been manifested; and
- whether a reasonable person in the position of each of the parties would think there was a concluded bargain.

OFFER

[3.10] "An offer is the manifestation of willingness to enter into a bargain, so made as to justify another person in understanding that his assent to that bargain is invited and will conclude it." (*Restatement (Second) of Contracts*, §24, American Law Institute, 1981).

Gibson v Manchester City Council

[3.15] *Gibson v Manchester City Council* [1979] 1 WLR 294 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: In 1970, Manchester City Council, then controlled by the Conservative Party, adopted a scheme allowing tenants of council housing to purchase the freehold title to their homes. In furtherance of the scheme, the Council wrote a standard form letter to Robert Gibson in relation to the Council house he was renting. The letter said that the Council "may be prepared to sell the house to you" at a nominated purchase price and asked Gibson to complete an application form if he wished to make formal application to buy the house. Gibson completed an application form (leaving the purchase price blank) and returned it to the Council. Before formal contracts were prepared, local government elections were held in which control of the Council passed to the Labour Party. The Council then resolved to abandon the scheme and to complete only those sales for which a binding contract had been concluded. The Council denied that there was a binding contract with Gibson. Gibson claimed that a contract had come into existence, and sued to enforce it. The trial judge held that there had been an offer and acceptance, and so a binding contract had arisen. He ordered specific performance. The Council's appeal to the Court of Appeal was dismissed. The Council then appealed the House of Lords, using this as a test case to determine the status of arrangements with hundreds of tenants in a similar position to Gibson.]

LORD DIPLOCK [295] My Lords, this is an action for specific performance of what is claimed to be a contract for the sale of land. The only question in the appeal is of a kind with which the courts are very familiar. It is whether in the correspondence between the parties there can be found a legally enforceable contract for the sale by the Manchester Corporation to Mr Gibson of the dwelling house of which he was the occupying tenant at the relevant time in 1971. That question is one that, in my view, can be answered by applying to the particular documents relied upon by Mr Gibson as constituting the contract, well-[296]settled, indeed elementary, principles of English law …. The two documents principally relied upon by Mr Gibson were in standard forms used by the corporation in dealing with applications from tenants of council houses to purchase the freehold of their homes under a scheme that had been adopted by the council … [and later] abandoned …. [T]he only contract that is alleged is one made by letters accompanying documents passing between the parties. The outcome of this appeal depends upon their true construction.

In the Manchester County Court where the action started, the case was pleaded in the conventional way. The particulars of claim alleged an offer in writing by the corporation to sell the freehold interest in the house to Mr Gibson at a price of £2,180 and an acceptance in writing of that offer by Mr Gibson. The judge (Judge Bailey) followed the same conventional approach to the question that fell to be decided. He looked to see whether there was an offer of sale and an acceptance. He held that, upon their true construction, the documents relied upon as such in the particulars of claim did amount to an offer and an acceptance respectively and so constituted a legally enforceable contract. He ordered specific performance of an open contract for the sale to Mr Gibson of the freehold interest in the house at the price of £2,180.

The corporation's appeal against this judgment was dismissed by a majority of the Court of Appeal (Lord Denning MR and Ormrod LJ); Geoffrey Lane LJ dissented. Lord Denning MR rejected what I have described as the conventional approach of looking to see whether upon the true construction of the documents relied upon there can be discerned an offer and acceptance. One ought, he said ([1978] 1 WLR 520 at 523H) to "look at the correspondence as a whole and at the conduct of the parties and see therefrom whether the parties have come to an agreement on everything that was material." This

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approach … led him however to the conclusion that there should be imported into the agreement to be specifically performed additional conditions, against use except as a private dwelling house and against advertising and a restriction not to sell or lease the property for five years. These are conditions which would not be implied by law in an [297] open contract for the sale of land. The reason for so varying the judge's order was that clauses in these terms were included in the standard form of "Agreement for Sale of a Council House" which … was entered into by the corporation and council tenants whose applications to purchase the freehold of their council house reached the stage at which contracts were exchanged. There was, however, no reference to this standard form of agreement in any of the documents said to constitute the contract relied on in the instant case, nor was there any evidence that Mr Gibson had knowledge of its terms at or before the time that the alleged contract was concluded.

Ormrod LJ, who agreed with Lord Denning MR, adopted a similar approach …

Geoffrey Lane LJ in a dissenting judgment, which for my part I find convincing, adopted the conventional approach. He found that upon the true construction of the documents relied upon as constituting the contract, there never was an offer by the corporation acceptance of which by Mr Gibson was capable in law of constituting a legally enforceable contract. It was but a step in the negotiations for a contract which, owing to the change in the political complexion of the council, never reached fruition.

My Lords, there may be certain types of contract, though I think they are exceptional, which do not fit easily into the normal analysis of a contract as being constituted by offer and acceptance; but a contract alleged to have been made by an exchange of correspondence between the parties in which the successive communications other than the first are in reply to one another, is not one of these. I can see no reason in the instant case for departing from the conventional approach of looking at the handful of documents relied upon as constituting the contract sued upon and seeing whether upon their true construction there is to be found in them a contractual offer by the corporation to sell the house to Mr Gibson and an acceptance of that offer by Mr Gibson. I venture to think that it was by departing from this conventional approach that the majority of the Court of Appeal was led into error.

The genesis of the relevant negotiations in the instant case is a form filled in by Mr Gibson on 28 November 1970, inquiring what would be the price of buying his council house … and expressing his interest in obtaining a mortgage from the corporation. The form was a detachable part of a brochure which had been circulated by the corporation to tenants who had previously expressed an interest in buying their houses. It contained details of a new scheme for selling council houses that had been recently adopted by the council. The scheme provided for a sale at market value less a discount dependent on the length of time the purchaser had been a council tenant. This, in the case of Mr Gibson, would have amounted to 20 per cent. The scheme also provided for the provision by the corporation of advances upon mortgage which might amount to as much as the whole of the purchase price.

As a result of that inquiry Mr Gibson's house was inspected by the corporation's valuer and on 10 February, 1971, the letter which is relied upon by Mr Gibson as the offer by the corporation to sell the house to him was sent from the City Treasurer's Department. It was in the following terms: [298]

> Dear Sir,
>
> Purchase of council house
>
> *Your Reference Number 82463 03*
>
> I refer to your request for details of the cost of buying your council house. *The corporation may be prepared to sell the house to you at the purchase price of £2,725 less 20 per cent = £2,180 (freehold)* …
>
> Maximum mortgage the corporation may grant: £2,177 repayable over 20 years. Annual fire insurance premium: £2.45

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> Monthly repayment charge, calculated by:
>
> (i) flat rate repayment method £19.02
>
> If you wish to pay off some of the purchase price at the start and therefore require a mortgage for less than the amount quoted above, the monthly instalment will change; in these circumstances, I will supply new figures on request. The above repayment figures apply so long as the interest rate charged on home loans is 8.5 per cent. The interest rate will be subject to variation by the corporation after giving not less than three months' written notice, and if it changes, there will be an adjustment to the monthly instalment payable. This letter should not be regarded as firm offer of a mortgage.
>
> *If you would like to make formal application to buy your council house, please complete the enclosed application form and return it to me as soon as possible*.
>
> Yours faithfully,
>
> (Sgd) H R PAGE
>
> CITY TREASURER …

My Lords, the words I have italicised seem to me, as they seemed to Geoffrey Lane LJ, to make it quite impossible to construe this letter as a contractual offer capable of being converted into a legally enforceable open contract for the sale of land by Mr Gibson's written acceptance of it. The words "may be prepared to sell" are fatal to this; so is the invitation, not, be it noted, to accept the offer, but "to make formal application to buy" upon the enclosed application form. It is, to quote Geoffrey Lane LJ, a letter setting out the financial terms on which it may be the council will be prepared to consider a sale and purchase in due course.

Both Ormrod LJ and the judge in the County Court reaching the conclusion that this letter was a firm offer to sell the freehold interest in the house for £2,180, attached importance to the fact that the second paragraph, dealing with the financial details of the mortgage of which Mr Gibson had asked for particulars, stated expressly: "This letter should not be regarded as a firm offer of a mortgage." The necessary implication from this, it is suggested, is that the first paragraph of the letter *is* to be regarded as a firm offer to sell despite the fact that this is plainly inconsistent with the express language of that paragraph. My Lords, with great respect, this surely must be fallacious. If the final sentence had been omitted the wording of the second paragraph, unlike that of the first, with its use of the indicative mood in such expressions as "the interest rate will change", might have been understood by council tenants to whom it was addressed as indicating a firm offer of a mortgage of the amount and on the terms for repayment stated if the council were prepared to sell the house at the stated price. But whether or not this be the explanation of [299] the presence of the last sentence in para 2, it cannot possibly affect the plain meaning of the words used in para 1.

Mr Gibson did fill in the application form enclosed with this letter. It was in three sections: s A headed "Application to buy a council house", s B "Application for a loan to buy a council house" and s C "Certificate to be completed by all applicants." He left blank the space for the purchase price in s A and sent the form to the corporation on 5 March 1971, with a covering letter in which he requested the corporation either to undertake at their own expense to carry out repairs to the tarmac path forming part of the premises or to make a deduction from the purchase price to cover the cost of repairs. The letter also intimated that Mr Gibson would like to make a down payment of £500 towards the purchase price instead of borrowing the whole amount on mortgage. In reply to the request made in this letter the corporation, by letter of 12 March 1971, said that the condition of the property had been taken into consideration in fixing the purchase price and that repairs to the tarmac by the corporation could not be authorised at this stage. This letter was acknowledged by Mr Gibson by his letter to the corporation of 18 March 1971, in which he asked the corporation to "carry on with the purchase as per my application already in your possession".

My Lords, the application form and letter of 18 March 1971, were relied on by Mr Gibson as an unconditional acceptance of the corporation's offer to sell the house; but this cannot be so unless

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there was a contractual offer by the corporation available for acceptance, and, for the reason already given I am of opinion that there was none. It is unnecessary to consider whether the application form and Mr Gibson's letters of 3 and 18 March 1971, are capable of amounting to a contractual offer by him to purchase the freehold interest in the house at a price of £2,180 on the terms of an open contract, for there is no suggestion that, even if it were, it was ever accepted by the corporation. Nor would it ever have been even if there had been no [abandonment of the scheme] as the policy of the corporation before the change required the incorporation in all agreements for sale of council houses to tenants of the conditions referred to by Lord Denning MR in his judgment and other conditions inconsistent with an open contract.

I therefore feel compelled to allow the appeal. One can sympathise with Mr Gibson's disappointment on finding that his expectations that he would be able to buy his council house at 20 per cent below its market value in the autumn of 1970 cannot be realised. Whether one thinks this makes it a hard case perhaps depends upon the political views that one holds about council housing policy. But hard cases offer a strong temptation to let them have their proverbial consequences. It is a temptation that the judicial mind must be vigilant to resist.

[Lord Edmund-Davies and Lord Russell of Killowen in separate judgments agreed that the appeal be allowed. Lord Fraser of Tullybelton agreed with Lord Diplock and Lord Russell. Lord Keith of Kinkel agreed with Lord Diplock.]

Appeal allowed.

[3.20] **Note**

In the preceding extract, Lord Diplock refers to the possibility of exceptional types of contracts which do not "fit easily into the normal analysis of offer and acceptance". On this issue, see further *Brambles Holdings Ltd v Bathurst City Council* [2001] NSWCA 61; (2001) 53 NSWLR 153, at [3.130].

Carlill v Carbolic Smoke Ball Company

[3.25] *Carlill v Carbolic Smoke Ball Company* [1893] 1 QB 256 (Court of Appeal) – Appeal from Hawkins J.

[FACTS: The defendants manufactured a device called a "Carbolic Smoke Ball", which was claimed to prevent colds and influenza. They placed the following advertisement in a number of newspapers, including the *Pall Mall Gazette* of 13 November 1891:

> £100 reward will be paid by the Carbolic Smoke Ball Company to any person who contracts the increasing epidemic influenza, colds, or any disease caused by taking cold, after having used the ball three times daily for two weeks according to the printed directions supplied with each ball. £1 000 is deposited with the Alliance Bank, Regent Street, shewing our sincerity in the matter.
>
> During the last epidemic of influenza many thousand carbolic smoke balls were sold as preventives against this disease, and in no ascertained case was the disease contracted by those using the carbolic smoke ball.
>
> One carbolic smoke ball will last a family several months, making it the cheapest remedy in the world at the price, 10s, post free. The ball can be refilled at a cost of 5s. Address, Carbolic Smoke Ball Company, 27 Princes Street, Hanover Square, London.

Carlill v Carbolic Smoke Ball Company cont.

The plaintiff purchased a smoke ball from a chemist on the faith of the advertisement and used it in accordance with the manufacturer's directions from 20 November 1891 until 17 January 1892, when she contracted influenza. The trial judge held that the plaintiff was entitled to recover the £100. The defendant appealed.]

LINDLEY LJ: [261] The first observation I will make is that we are not dealing with any inference of fact. We are dealing with an express promise to pay £100 in certain events. Read the advertisement how you will, and twist it about as you will, here is a distinct promise expressed in language which is perfectly unmistakable: "£100 reward will be paid by the Carbolic Smoke Ball Company to any person who contracts the influenza after having used the ball three times daily for two weeks according to the printed directions supplied with each ball."

We must first consider whether this was intended to be a promise at all, or whether it was a mere puff which meant nothing. Was it a mere puff? My answer to that question is "No", and I base my answer upon this passage: "£1 000 is deposited with the Alliance Bank, shewing our sincerity in the matter."

Now, for what was that money deposited or that statement made except to negative the suggestion that this was a mere puff and meant nothing at all? The deposit is called in [262] aid by the advertiser as proof of his sincerity in the matter – that is, the sincerity of his promise to pay this £100 in the event which he has specified. I say this for the purpose of giving point to the observation that we are not inferring a promise; there is the promise, as plain as words can make it.

Then it is contended that it is not binding. In the first place, it is said that it is not made with anybody in particular. Now that point is common to the words of this advertisement and to the words of all other advertisements offering rewards. They are offers to anybody who performs the conditions named in the advertisement, and anybody who does perform the condition accepts the offer. In point of law this advertisement is an offer to pay £100 to anybody who will perform these conditions, and the performance of the conditions is the acceptance of the offer. That rests upon a string of authorities, the earliest of which is *Williams v Carwardine* (1833) 4 B & Ad 621; 110 ER 590, which has been followed by many other decisions upon advertisements offering rewards.

But then it is said: "Supposing that the performance of the conditions is an acceptance of the offer, that acceptance ought to have been notified."

Unquestionably, as a general proposition, when an offer is made, it is necessary in order to make a binding contract, not only that it should be accepted, but that the acceptance should be notified. But is that so in cases of this kind? I apprehend that they are an exception to that rule, or, if not an exception, they are open to the observation that the notification of the acceptance need not precede the performance. This offer is a continuing offer. It was never revoked, and if notice of acceptance is required – which I doubt very much, for I rather think the true view is that which was expressed and explained by Lord Blackburn in the case of *Brogden v Metropolitan Ry Co* (1877) 2 App Cas 666 at 692 – if notice of acceptance is required, the person who makes the offer gets the notice of acceptance contemporaneously with his notice of performance of the condition. If he gets notice of the acceptance before his offer is revoked, that in principle is all you want. I, however, think that the true view, in a case of this kind, is that the person who makes the offer shews by his language and from the nature of the transaction that he [263] does not expect and does not require notice of the acceptance apart from notice of the performance.

We, therefore, find here all the elements which are necessary to form a binding contract enforceable in point of law, subject to two observations. First of all it is said that this advertisement is so vague that you cannot really construe it as a promise – that the vagueness of the language shews that a legal promise was never intended or contemplated. The language is vague and uncertain in some respects, and particularly in this, that the £100 is to be paid to any person who contracts the increasing epidemic after having used the balls three times daily for two weeks. It is said, When are they to be used? According to the language of the advertisement no time is fixed, and,

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construing the offer most strongly against the person who has made it, one might infer that any time was meant. I do not think that was meant, and to hold the contrary would be pushing too far the doctrine of taking language most strongly against the person using it. I do not think that business people or reasonable people would understand the words as meaning that if you took a smoke ball and used it three times daily for two weeks you were to be guaranteed against influenza for the rest of your life, and I think it would be pushing the language of the advertisement too far to construe it as meaning that. But if it does not mean that, what does it mean? It is for the defendants to shew what it does mean; and it strikes me that there are two, and possibly three, reasonable constructions to be put on this advertisement, any one of which will answer the purpose of the plaintiff. Possibly it may be limited to persons catching the "increasing epidemic" (that is, the then prevailing epidemic), or any colds or diseases caused by taking cold, during the prevalence of the increasing epidemic. That is one suggestion; but it does not commend itself to me. Another suggested meaning is that you are warranted free from catching this epidemic, or colds or other diseases caused by taking cold, whilst you are using this remedy after using it for two weeks. If that is the meaning, the plaintiff is right, for she used the remedy for two weeks and went on using it till she got the epidemic. Another meaning, and the one which I rather prefer, is that the reward is offered to [264] any person who contracts the epidemic or other disease within a reasonable time after having used the smoke ball. Then it is asked, What is a reasonable time? It has been suggested that there is no standard of reasonableness; that it depends upon the reasonable time for a germ to develop! I do not feel pressed by that. It strikes me that a reasonable time may be ascertained in a business sense and in a sense satisfactory to a lawyer, in this way; find out from a chemist what the ingredients are; find out from a skilled physician how long the effect of such ingredients on the system could be reasonably expected to endure so as to protect a person from an epidemic or cold, and in that way you will get a standard to be laid before a jury, or a judge without a jury, by which they might exercise their judgment as to what a reasonable time would be. It strikes me, I confess, that the true construction of this advertisement is that £100 will be paid to anybody who uses this smoke ball three times daily for two weeks according to the printed directions, and who gets the influenza or cold or other diseases caused by taking cold within a reasonable time after so using it; and if that is the true construction, it is enough for the plaintiff.

I come now to the last point which I think requires attention – that is, the consideration. It has been argued that this is nudum pactum; that there is no consideration. We must apply to that argument the usual legal tests. Let us see whether there is no advantage to the defendants. It is said that the use of the ball is no advantage to them, and that what benefits them is the sale; and the case is put that a lot of these balls might be stolen, and that it would be no advantage to the defendants if the thief or other people used them. The answer to that, I think, is as follows. It is quite obvious that in the view of the advertisers a use by the public of their remedy, if they can only get the public to have confidence enough to use it, will react and produce a sale which is directly beneficial to them. Therefore, the advertisers get out of the use an advantage which is enough to constitute a consideration.

But there is another view. Does not the person who acts upon this advertisement and accepts the offer put himself to some inconvenience at the request of the defendants? Is it nothing [265] to use this ball three times daily for two weeks according to the directions at the request of the advertiser? Is that to go for nothing? It appears to me that there is a distinct inconvenience, not to say a detriment, to any person who so uses the smoke ball. I am of opinion, therefore, that there is ample consideration for the promise …

It appears to me, therefore, that the defendants must perform their promise, and, if they have been so unwary as to expose themselves to a great many actions, so much the worse for them.

[3.30] BOWEN LJ: I am of the same opinion. We were asked to say that this document was a contract too vague to be enforced.

The first observation which arises is that the document itself is not a contract at all, it is only an offer made to the public.

Carlill v Carbolic Smoke Ball Company cont.

[266] The defendants contend next, that it is an offer the terms of which are too vague to be treated as a definite offer, inasmuch as there is no limit of time fixed for the catching of the influenza, and it cannot be supposed that the advertisers seriously meant to promise to pay money to every person who catches the influenza at any time after the inhaling of the smoke ball … It seems to me that in order to arrive at a right conclusion we must read this advertisement in its plain meaning, as the public would understand it. It was intended to be issued to the public and to be read by the public. How would any ordinary person reading this document construe it? It was intended unquestionably to have some effect, and I think the effect which it was intended to have, was to make people use the smoke ball, because the suggestions and allegations which it contains are directed immediately to the use of the smoke ball as distinct from the purchase of it … It is written in colloquial and popular language, and I think that it is equivalent to this: "£100 will be paid to any person who shall contract the increasing epidemic after having used the carbolic smoke ball three times daily for two weeks."

And it seems to me that the way in which the public would read it would be this, that if anybody, after the advertisement was published, used three times daily for two weeks the carbolic smoke ball, and then caught cold, he would be entitled to the reward. Then again it was said: "How long is this protection to endure? Is it to go on for ever, or for what limit of time?"

[267] I think that there are two constructions of this document, each of which is good sense, and each of which seems to me to satisfy the exigencies of the present action. It may mean that the protection is warranted to last during the epidemic, and it was during the epidemic that the plaintiff contracted the disease. I think, more probably, it means that the smoke ball will be a protection while it is in use. That seems to me the way in which an ordinary person would understand an advertisement about medicine, and about a specific against influenza … My brother, the Lord Justice who preceded me, thinks that the contract would be [268] sufficiently definite if you were to read it in the sense that the protection was to be warranted during a reasonable period after use. I have some difficulty myself on that point; but it is not necessary for me to consider it further, because the disease here was contracted during the use of the carbolic smoke ball …

It was also said that the contract is made with all the world – that is, with everybody; and that you cannot contract with everybody. It is not a contract made with all the world. There is the fallacy of the argument. It is an offer made to all the world; and why should not an offer be made to all the world which is to ripen into a contract with anybody who comes forward and performs the condition? It is an offer to become liable to any one who, before it is retracted, performs the condition, and, although the offer is made to the world, the contract is made with that limited portion of the public who come forward and perform the condition on the faith of the advertisement. It is not like cases in which you offer to negotiate, or you issue advertisements that you have got a stock of books to sell, or houses to let, in which case there is no offer to be bound by any contract. Such advertisements are offers to negotiate – offers to receive offers – offers to chaffer, as, I think, some learned judge in one of the cases has said. If this is an offer to be bound, then it is a contract the moment the person fulfils the condition …

[269] Then it was said that there was no notification of the acceptance of the contract. One cannot doubt that, as an ordinary rule of law, an acceptance of an offer made ought to be notified to the person who makes the offer, in order that the two minds may come together. Unless this is done the two minds may be apart, and there is not that consensus which is necessary according to the English law – I say nothing about the laws of other countries – to make a contract. But there is this clear gloss to be made upon that doctrine, that as notification of acceptance is required for the benefit of the person who makes the offer, the person who makes the offer may dispense with notice to himself if he thinks it desirable to do so, and I suppose there can be no doubt that where a person in an offer made by him to another person, expressly or impliedly intimates a particular mode of acceptance as sufficient to make the bargain binding, it is only necessary for the other person to whom such offer is

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made to follow the indicated method of acceptance; and if the person making the offer, expressly or impliedly intimates in his offer that it will be sufficient to act on the proposal without communicating [270] acceptance of it to himself, performance of the condition is a sufficient acceptance without notification …

Now, if that is the law, how are we to find out whether the person who makes the offer does intimate that notification of acceptance will not be necessary in order to constitute a binding bargain? In many cases you look to the offer itself. In many cases you extract from the character of the transaction that notification is not required, and in the advertisement cases it seems to me to follow as an inference to be drawn from the transaction itself that a person is not to notify his acceptance of the offer before he performs the condition, but that if he performs the condition notification is dispensed with.

It seems to me that from the point of view of common sense no other idea could be entertained. If I advertise to the world that my dog is lost, and that anybody who brings the dog to a particular place will be paid some money, are all the police or other persons whose business it is to find lost dogs to be expected to sit down and write me a note saying that they have accepted my proposal? Why, of course, they at once look after the dog, and as soon as they find the dog they have performed the condition. The essence of the transaction is that the dog should be found, and it is not necessary under such circumstances, as it seems to me, that in order to make the contract binding there should be any notification of acceptance. It follows from the nature of the thing that the performance of the condition is sufficient acceptance without the notification of it, and a person who makes an offer in an advertisement of that kind makes an offer which must be read by the light of that common sense reflection. He does, therefore, in his offer impliedly indicate that he does not require notification of the acceptance of the offer.

A further argument for the defendants was that this was a [271] nudum pactum – that there was no consideration for the promise – that taking the influenza was only a condition, and that the using the smoke ball was only a condition, and that there was no consideration at all; in fact, that there was no request, express or implied, to use the smoke ball … The short answer, to abstain from academical discussion, is, it seems to me, that there is here a request to use involved in the offer. Then as to the alleged want of consideration. The definition of "consideration" given in *Selwyn's Nisi Prius* (8th ed), p 47, which is cited and adopted by Tindal CJ, in the case *Laythoarp v Bryant* (1836) 2 Bing (NC) 735; 132 ER 283, is this:

> Any act of the plaintiff from which the defendant derives a benefit or advantage, or any labour, detriment, or inconvenience sustained by the plaintiff, provided such act is performed or such inconvenience suffered by the plaintiff, with the consent, either express or implied, of the defendant.

Can it be said here that if the person who reads this advertisement applies thrice daily, for such time as may seem to him tolerable, the carbolic smoke ball to his nostrils for a whole fortnight, he is doing nothing at all – that it is a mere act which is not to count towards consideration to support a promise (for the law does not require us to measure the adequacy of the consideration). Inconvenience sustained by one party at the request of the other is enough to create a consideration. I think, therefore, that it is consideration enough that the plaintiff took the trouble of using the smoke ball. But I think also that the defendants received a benefit from this user, for the use of the smoke ball was contemplated by the defendants as being indirectly a benefit to them, because the use of the smoke balls would promote their sale …

[AL SMITH LJ delivered a judgment to a similar effect.]

Appeal dismissed.

MacRobertson Miller Airline Services v Commissioner of State Taxation (WA)

[3.35] *MacRobertson Miller Airline Services v Commissioner of State Taxation (WA)* (1975) 133 CLR 125 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: A person wishing to take passage on MacRobertson Miller Airline Services would be advised, on inquiry, on what flights seats were available to her or his destination, and the fare. Having selected the flight, the prospective passenger was handed a ticket, on which were entered the appropriate details, in return for the fare. At the appropriate time, the passenger presented the ticket to secure her or his seat on the flight. A condition printed on the ticket provided that the airline reserved the right to abandon any flight or cancel any ticket or booking and that upon abandonment or cancellation, the passenger would be entitled to a refund of so much of the fare as was proportionate to the part of the flight abandoned or cancelled, and the airline would be under no other liability to the passenger for failure to carry her or him at the booked or scheduled time or at all.

It was necessary for stamp duty purposes to determine whether the ticket so issued was "an agreement or any memorandum of agreement". The Supreme Court of Western Australia found that it was. The airline appealed.]

BARWICK CJ: [132] It is, in my opinion, clear that the issuing airline operator does not by the terms of the ticket assume or offer to assume any obligation [133] to carry the intending passenger. Clauses 2 and 5 made this particularly clear. The case is not, in my opinion, one in which an obligation is assumed or an offer of an obligation made from or upon which obligations, exemptions or limitations are stipulated. The exemption of the ticket in this case fully occupies the whole area of possible obligation, leaving no room for the existence of a contract of carriage.

In my opinion, the proper legal analysis of the situation which arises on the making of a reservation for a seat upon a flight, the payment of the fare appropriate to that flight and the issue of a ticket as in this case, is that if, without any antecedent promise to do so, the airline operator in fact conveys the passenger in accordance with the reservation or any variant of it permissible under the terms of carriage indorsed on the ticket, the airline operator will have earned the fare which has been prepaid and be entitled to retain it: otherwise the amount which has been prepaid against the possibility of such carriage will be refunded. But if, in any case, the described carriage eventuates it shall be upon the indorsed terms of carriage. To this statement there is a possible qualification, namely, if the airline operator has been able, ready and willing to carry the passenger in accordance with the particulars on the ticket and the intending passenger has not presented himself in due time at the airline traffic office at the designated airport, the airline operator may claim to have earned the fare. In general, therefore, the entitlement of the airline company to retain the prepaid fare is dependent on the actual performance of carriage. The situation is an example of the payment of a reward for an act performed at request with no antecedent promise by the person performing the act to do so. The terms of carriage are akin to the terms of the prospectus in *Edgar v Blick* (1816) 1 Stark 464; 171 ER 531, and like them are not dutiable, though admissible to determine the rights of the passenger and airline in respect of the actual carriage.

In my opinion, therefore, the precise question in the stated case should be answered in the opposite sense to the answer given by the Supreme Court.

However, quite apart from the particular terms of the ticket in the instant case, the issue of a ticket by an airline operator neither constitutes an agreement nor a memorandum of an agreement. I apprehend that the normal procedure in making a reservation of a seat on an aeroplane flight is that inquiry is made of the airline operator or its agent, usually being a travel agent, whether, having regard to existing reservations, a seat is available on a nominated flight. If it is, the appropriate fare is paid or promised to be paid [134] and a ticket appropriate to the reservation issued. Now, supposing the airline ticket does not contain an express promise to carry the ticket holder on the nominated flight, it could (sic) be inferred from this procedure that the airline company by the issue of the ticket had bound itself by agreement to carry the intending passenger on the specified, or for that matter

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on any, flight, a promise which being broken would require the payment of damages. On a proper analysis of the procedure described, the airline operator was not in contractual relations with the intending passenger until it had provided him with a seat on the aeroplane. Then, in consideration of the fare prepaid, such obligations as the conditions of the ticket impose on the airline operator attached. The issue of the ticket, in my opinion, is mainly a receipt for the payment of the fare, though it also stipulates an occasion when the fare may not be refundable though actual carriage has not ensued. The payment made on the making of the reservation ought, in my opinion, to be regarded as no more than the prepayment of the fare payable for an actual carriage performed. Having regard to the known contingencies of airline operation it would be incongruous to infer the making of a promise to carry from the mere payment of the fare and its acknowledgment by the issue of a ticket. The ticket, apart from any specific terms it might contain, would not be regarded as entitling its holder to a place on a particular flight. It should be regarded as doing no more than denominate the carriage which, if performed, will earn the prepaid fare. If, as in the present case, the ticket contains terms of carriage, these will, given the performance of the denominated carriage, regulate the relationship of the parties during and in connection with such carriage and thus their respective rights in relation thereto.

It should be observed that in *Hood v Anchor Line (Henderson Bros) Ltd* [1918] AC 837, the question was whether a part of the ticket which had been issued by the steamship company formed part of the terms on which the actual carriage took place. The action was for negligence in the performance of that carriage. Thus, even if there had not been in that case an antecedent promise to carry, the condition by which the appellant was held to be bound would have been part of the terms governing the relationship of the parties during the performance of the actual carriage. But, in fact, the ticket issued by the ship owner in that case contained an express engagement "to provide passage with certain accommodation on a particular voyage". The ticket in that case, as Lord Findlay observed, "really professes to be a memorandum of the contract": [1918] AC 837 at 841.

[135] In any case, a promise to carry may be more appropriately made by a steamship company than by an airline operator. The marked degree of certainty on the one hand and of uncertainty on the other affords good ground for distinguishing the inferences which, apart from express provisions, might be drawn in the one case though not in the other.

Therefore, although the terms of the ticket in this case with their express and extensive limitations and exclusions preclude the existence of an antecedent contract of carriage, it is my opinion that, in any case, without the presence of these express provisions and in the absence of an express provision to carry, the ticket would not represent an agreement or a memorandum of agreement to satisfy the relevant portion of the schedule to the *Stamp Act* …

For these reasons, I would allow the appeal.

[3.40] STEPHEN J: Until 1970 the United Kingdom stamp duty legislation contained a similar provision and a wealth of authority as to its meaning has developed which is directly applicable to the provisions of the Western Australian legislation. It establishes that a document containing a written offer which is subsequently accepted orally or by conduct does not thereby become either an agreement or a memorandum thereof for the purposes of stamp duty …

[136] Accordingly, in the present appeal it will be critical to determine whether the issue by the appellant of its ticket was merely the making of an offer, to be later accepted either orally or by conduct, or whether, on the contrary, an agreement, of which it contained the terms, was concluded at or before the time of its issue, the ticket either being that agreement or being a memorandum of it. Each of these two latter possibilities will be excluded if the fact be that when the ticket was issued to the passenger no agreement had yet been concluded but instead awaited the passenger's acceptance of the offer constituted by the ticket …

A prospective passenger makes known his requirement, is informed whether and when the passage is available and the cost, a ticket is then written out in duplicate on a printed form and tendered to

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the passenger in return for the price; in due course, on the day of travel, the passenger uses his ticket to secure transport of his baggage and himself on the relevant aircraft.

It is to those facts that the accepted doctrine of the formation of contracts must be applied so as to determine whether the ticket is merely an offer, antecedent to agreement, or is itself the agreement or a memorandum of it.

This doctrine, of the formation of contracts by offer and acceptance, encounters difficulties when sought to be applied, outside the realms of commerce and conveyancing, to the everyday contractual situations which are a feature of life in modern urban communities. Contracts for the carriage of passengers, one of the most common classes of contract in a commuter society and one which ordinarily involves the attempted imposition of contractual restrictions upon the passenger's rights should he suffer loss or injury, provide an instance of these difficulties. The circumstances in which mass transportation occurs frequently permit of no time for prior negotiation, which would in any event usually be pointless with prevailing contracts of adhesion; moreover the transportation often will begin before there has been any communication at all between the passenger and the carrier's agent, the contract being "inferred from [137] the acquiescence of the carrier in the presence of the passenger on the conveyance":

Hood v Anchor Line (Henderson Bros) Ltd per Lord Dunedin; and see *Wilkie v London Passenger Transport Board* [1947] 1 All ER 258 at 259 per Lord Greene MR.

The conventional analysis of the formation of contracts for the carriage of passengers in those somewhat more leisurely transactions which involve the issue of a ticket in return for payment of a fare and the subsequent performance of the contract by the act of transportation, is to regard the ticket as the offer, the contract being made upon acceptance of that offer by the passenger, usually by conduct. Lord Denning describes this analysis, referring to the authorities which establish it, in *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 at 169. He does so in the course of demonstrating its inappropriateness in situations in which there in fact exists no opportunity either of considering the terms of the proffered contract or of declining to enter into it on the terms which are offered.

In the present case there is no such inappropriateness. It is just such a case as that for which the conventional analysis was devised. This analysis affords to the intending passenger an opportunity, no doubt but rarely availed of, of ascertaining the conditions which the carrier seeks to impose and of accepting or rejecting them. The conventional long-distance rail or passenger liner situation is therefore applicable, a ticket is purchased in advance of the carriage and that ticket constitutes an offer available for acceptance by the passenger. Although the economics of mass transportation in fact lead to an absence of much real choice on the passenger's part whether or not to accept conditions sought to be imposed, he at least retains the ability to learn of those conditions and to refuse to travel by the intended means if he sees fit.

The general run of so called "ticket cases" involving contracts of carriage has been concerned with mishaps occurring during transportation and with the effect, if any, which conditions, sought to be imposed upon the passenger by the ticket issued to him, may have upon his rights against the carrier. The precise time at which the carrier's offer is accepted has not been the central question, although it has been indirectly involved in the central question of whether or not the conditions on the ticket have been incorporated as terms of the contract. The authorities make it clear that, in the [138] absence of particular conduct on the part of the passenger, acceptance of the offer which a carrier makes when a ticket is issued does not occur immediately upon its receipt by the passenger; the whole concept of a passenger's acceptance of ticket conditions and of the need adequately to draw those conditions to his attention (*Balmain New Ferry Co Ltd v Robertson* (1906) 4 CLR 379 at 387 per Griffith CJ) is dependent upon this.

It is enough to refer to three authorities, over a span of almost a hundred years, in which, when the ticket itself contains conditions or a reference to conditions elsewhere available, the passenger's acceptance of the carrier's offer is treated as occurring some time after issue of the ticket. In *Parker v*

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South Eastern Railway Co (1877) 2 CPD 416 at 426–8 Bramwell LJ, on three occasions referred to the passenger being afforded, if he wishes, the opportunity of reading the conditions on a ticket which is proffered to him before becoming bound by them, that is, before the contract can be regarded as concluded, and see also (1877) 2 CPD 416 at 425 per Baggallay LJ …

[139] The cases … are replete with references to passengers who elect not to read ticket conditions, no doubt the common behaviour of most passengers; they, it is said, do not thereby escape being bound by those conditions. This rule of law, which is directed to identifying the agreed terms of the particular contract, does not detract from but, rather, supports the proposition that acceptance, and the resultant formation of the contract, does not occur upon tender of the ticket. It occurs after that event, either when the passenger has by actual conduct intimated his acceptance of the offer, for instance by immediately boarding the vehicle in question, or, absent any such conduct, when a reasonable time has passed during which the passenger has had an opportunity of reading the conditions appearing on the ticket and has not then rejected the offer and demanded the return of his fare. In other words, acceptance will normally be by conduct and this conduct will consist either of an overt act consistent only with acceptance or, in its absence, of the passenger's failure to reject the offer after he has had an opportunity of learning of the conditions upon which carriage is offered.

Those cases in which a contract is concluded which incorporates ticket conditions despite the passenger's failure to read them are instances either of the occurrence of such an overt act or of the passing of a reasonable time without rejection. In the latter case there is involved the concept of effective acceptance without actual communication to the offeror; but when, as here, the offeree, by tendering his fare, has performed his part of the bargain in advance his acceptance may readily be inferred from his failure, within a reasonable time after receipt of his ticket, to reject the offer and demand the return of his fare: *Williston on Contracts* (3rd ed), vol 1, para 91C. What will be a reasonable time within which to reject proffered terms will be a question of fact in every case dependent upon all the circumstances, including, no doubt, the length and complexity of the conditions which form part of the offer. What Hawkins J in *Watkins v Rymill* (1883) 10 QBD 180, and Megaw LJ in the passage cited from the *Shoe Lane Parking case* [1971] 2 QB 163 at 173–4, each referred to as "a fair opportunity" of reading the tendered ticket will provide the test, recourse being had, for this purpose, to familiar standards of reasonableness.

If this, then, be the correct view of the time of formation of such a contract as the present one, it necessarily follows that in the [140] typical circumstances referred to in the stated case the completed ticket itself will not, when it comes into existence, then record any existing agreement nor itself be an agreement; it will be no more than a written offer open for acceptance. Hence it is not dutiable as an "agreement or any memorandum of an agreement" for the purposes of the *Stamp Act*.

The conditions appearing in the appellant's ticket are not easy to interpret; they appear to relieve the appellant very substantially from performance of those obligations relating to the carriage of the passenger which are to be implied from the description, in the ticket, of the destination, the flight number and the departure time and date. However I think it unnecessary to arrive at any conclusion as to whether the presence of these conditions is such as to prevent the formation of any contract between the appellant and its passenger before transportation commences. It is enough for me to conclude that at date of issue the ticket was not an agreement or any memorandum of agreement. I would therefore allow this appeal …

[JACOBS J also considered that the ticket was not an agreement or memorandum of agreement. In relation to cl 2, Jacobs J commented (at 148): "any enforceable promise to carry which might on the present assumption be implied between the airline and passenger from the issue of the ticket is negatived."]

Appeal allowed.

[3.45] **Note**

The identification of offer and acceptance in cases involving the issue of a ticket is considered further in *Oceanic Sun Line Shipping Co Inc v Fay* (1988) 165 CLR 197, extracted at [12.55].

Offers distinguished from invitations to treat

Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern)

[3.50] *Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd* [1953] 1 QB 401 (Court of Appeal) – Appeal from Lord Goddard CJ.

[FACTS: The defendants (Boots) operated a self-service shop in one part of which certain drugs were displayed. This part of the shop was under the control of a registered pharmacist. A customer, having taken the goods, including drugs, which he wished to buy from the shelves, would put them in a wire basket provided for the purpose and take them to an attendant at the cash register at one of the shop's exits. Whenever a customer took drugs to the cash register the pharmacist supervised that part of the transaction and was authorised by the defendants to prevent a customer removing drugs if he saw fit. Two customers following this procedure purchased drugs. The *Pharmacy and Poisons Act 1933* (UK) made it unlawful for a person to sell certain drugs unless "the sale is effected by, or under the supervision of, a registered pharmacist".

Lord Goddard had held that sales of the drugs in the manner described did not contravene the Act.]

SOMERVELL LJ: [405] The point taken by the plaintiffs is this: it is said that the purchase is complete if and when a customer going round the shelves takes an article and puts it in the receptacle which he or she is carrying, and that therefore, if that is right, when the customer comes to the pay desk, having completed the tour of the premises, the registered pharmacist, if so minded, has no power to say: "This drug ought not to be sold to this customer." Whether and in what circumstances he would have that power we need not inquire, but one can, of course, see that there is a difference if supervision can only be exercised at a time when the contract is completed …

Whether the view contended for by the plaintiffs is a right view depends on what are the legal implications of this layout – the invitation to the customer. Is a contract to be regarded as being completed when the article is put into the receptacle, or is this to be regarded as a more organised way of doing what is done already in many types of shops – and a bookseller is perhaps the best example – namely, enabling customers to have free access to what is in the shop, to look at the different articles, and then, ultimately, having got the ones which they wish to buy, to come up to the assistant saying "I want this"? The assistant in 999 times out of 1 000 says, "That is all right", and the money passes and [406] the transaction is completed. I agree with what the Lord Chief Justice has said, and with the reasons which he has given for his conclusion, that in the case of an ordinary shop, although goods are displayed and it is intended that customers should go and choose what they want, the contract is not completed until, the customer having indicated the articles which he needs, the shopkeeper, or someone on his behalf, accepts that offer. Then the contract is completed. I can see no reason at all, that being clearly the normal position, for drawing any different implication as a result of this layout.

The Lord Chief Justice, I think, expressed one of the most formidable difficulties in the way of the plaintiff's contention when he pointed out that, if the plaintiffs are right, once an article has been placed in the receptacle the customer himself is bound and would have no right, without paying for the first article, to substitute an article which he saw later of a similar kind and which he perhaps preferred. I can see no reason for implying from this self-service arrangement any implication other

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than that which the Lord Chief Justice found in it, namely, that it is a convenient method of enabling customers to see what there is and choose, and possibly put back and substitute, articles which they wish to have, and then to go up to the cashier and offer to buy what they have so far chosen. On that conclusion the case fails, because it is admitted that there was supervision in the sense required by the Act and at the appropriate moment of time. For these reasons, in my opinion, the appeal should be dismissed.

[3.55] BIRKETT LJ: [407] The Lord Chief Justice dealt with the matter in this way, and I would like to adopt his words ([1952] 2 QB 795 at 802):

> It seems to me, therefore, that the transaction is in no way different from the normal transaction in a shop in which there is no self-service scheme. I am quite satisfied it would be wrong to say that the shopkeeper is making an offer to sell every article in the shop to any person who might come in and that person can insist on buying any article by saying "I accept your offer."

Then he went on to deal with the illustration of the bookshop, and continued:

> Therefore, in my opinion, the mere fact that a customer picks up a bottle of medicine from the shelves in this case does not amount to an acceptance of an offer to sell. It is an offer by the customer to buy and there is no sale effected until the buyer's offer to buy is accepted by the acceptance of the price. The offer, the acceptance of the price, and therefore the sale take place under the supervision of the pharmacist. This is sufficient to satisfy the requirements of the section …

[ROMER LJ in a brief judgment also agreed that the appeal should be dismissed.]

Appeal dismissed.

[3.56] **Note**

The interpretation of a proposal to form a contract made by way of electronic communications is now affected by the Electronic Transactions Acts. See at [3.225] and [3.230].

Revocation of an offer

Goldsbrough Mort & Co v Quinn

[3.60] *Goldsbrough Mort & Co Ltd v Quinn* (1910) 10 CLR 674 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: The facts are set out by Griffith CJ.]

GRIFFITH CJ: [677] This was a suit by the appellants for specific performance of an agreement, the terms of which are contained in a document dated 8 February 1909, and signed by the respondent in the following terms:

> I John Thomas Quinn in consideration of the sum of five shillings paid to me hereby grant to Goldsbrough, Mort & Co Ltd the right to purchase the whole of my freehold and conditional purchase and conditional lease lands situate near Canonbar, and known as Bena Billa, comprising about 2 590 acres, within one week from this date at the price of £1 10s per

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It was rightly urged by learned counsel for the appellants that such an option gives the optionee an interest in the land … Of course the interest which the optionee possesses is not the same as that of a purchaser, but it is something real and substantial, and beyond the power of the grantor of the option to withdraw. Nevertheless I do not for this branch of the case rely on that equitable interest, because I would hold the respondent bound on general principles of contract whatever were the subject matter of the agreement, and would regard the offer as irrevocably fixed for the period agreed on.

The inevitable consequence is that in contemplation of law the offer was not withdrawn, and when linked with the acceptance, the necessary mutual contractual obligation to sell and purchase the land on the stipulated terms was created …

[696] In the view I take … I necessarily regard the parties as having entered into two separate contracts. The first was a unilateral contract that a certain offer should last for a week, and in this contract the con-[697]sideration was 5s. The appellants had no obligation beyond the consideration, the respondent none but to continue the offer for the stipulated time. Had there been any attempt by the respondent to dispose of the land to another during that period he might have been enjoined, because the affirmative promise to the appellants necessarily implied an undertaking not to sell to another. But in the absence of such an attempt the remedy was in the appellants' own hands. They could at any moment before the expiration of the period agreed on, by simple acceptance, convert their position of optionees into that of absolute vendees, with mutual obligations … That change of position has been effected by the act of the party entitled, and therefore the remedy of specific performance of the primary agreement is not only unnecessary and inappropriate but impossible. There is nothing in that agreement to perform. Its terms must be looked at, but only to ascertain the offer, which with acceptance constituted the later and distinct contract.

Unilateral contracts

Mobil Oil Australia v Wellcome International

[3.75] *Mobil Oil Australia Ltd v Wellcome International Pty Ltd* (1998) 81 FCR 475 (Federal Court of Australia) – Appeal from Wilcox J.

[FACTS: Mobil operated an incentive scheme for its franchisees known as the Circle of Excellence. Franchisees who achieved high scores in the Circle of Excellence judging were given certain rewards, such as overseas holidays. At a convention for franchisees held in 1991, Mobil's general manager for retail marketing, Mr Ken Stumbles, told franchisees that Mobil was seeking to implement a "tenure for performance" scheme. He told them that Mobil wanted to implement a scheme whereby a franchisee who achieved a score of 90 per cent or better in any year would be granted an extra year's tenure (the "one for one" proposal), but that this was very difficult to achieve under the *Petroleum Retail Marketing Franchise Act 1980* (Cth) (the PRMF Act). He said it may be that the only way to give the extended tenure is to say that any franchisee who achieves a score of 90 per cent or better in the Circle of Excellence judging in each of the six years following 1991 would be granted a nine-year renewal of their franchise without cost (the "nine-for-six" proposal).

A videotape including the relevant part of Mr Stumbles' address was sent to all franchisees. The undertaking was repeated in literature distributed to franchisees. At subsequent regional meetings, franchisees were given a brochure including a tear-off slip which franchisees could sign to indicate that they did "accept the challenge to exceed 90% in Circle of Excellence judging and qualify for extra tenure." Many franchisees signed and returned the tear-off slip and took steps to improve their performance in the Circle of Excellence judging. Several franchisees achieved a score of 90 per cent or better in the four years following the announcement.

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Following management and policy changes, Mobil announced in 1994 that it would not grant renewals free of charge on the basis proposed by Mr Stumbles, but would discount the renewal fees of any franchisees who had succeeded in obtaining 90 per cent or better in 1992 and 1993. One-hundred and fifty-four franchisees commenced proceedings against Mobil, claiming relief on the basis of breach of contract, equitable estoppel or misleading or deceptive conduct in breach of s 52 of the *Trade Practices Act 1974* (Cth). They sought orders requiring Mobil to grant the additional tenure or compensate them for its loss. Mobil then abandoned the Circle of Excellence judging.

The parties selected five test cases, which were heard together by Wilcox J. Wilcox J held that Mobil had made no offer of a one-for-one extension, since Mr Stumbles clearly indicated that this could not be done under the PRMF Act. Wilcox J upheld the contract claim based on the nine-for-six proposal made by three franchisees who had achieved 90 per cent or better in the Circle of Excellence judging in the four years following the announcement. He ordered Mobil to grant a nine-year extension of each of those franchises without charge. He found that Mobil had not engaged in misleading or deceptive conduct because Mr Stumbles had reasonable grounds for making the representation at the time he made it. In any event, a claim in respect of misleading conduct would not provide the franchisees with damages in respect of their disappointed expectations. Wilcox J also found that the franchisees were not entitled to a renewal of their franchises on the basis of promissory estoppel. The detriment the franchisees had suffered in reliance on Mobil's promise did not justify holding Mobil to its promise. The relief claimed was disproportionate to the detriment suffered.

Mobil appealed to the Full Court. The successful franchisees filed notices of contention in respect of dismissal of the estoppel claims.]

THE COURT (LOCKHART, LINDGREN AND TAMBERLIN JJ): [494]

2. Contractual issues

[498] The trial judge found an offer of a nine-for-six promise in the following passage:

> So we have more work to do and where we're at at the moment is that maybe the only way to do this is to say that if you achieve 90 each year for the next 6 years then well [sic] guarantee you another 9 years as of right, no fees just a renewal. *Now we've got a lot more work to do on this but the commitment that we're making to you here today is that we will find a way to extend your tenure automatically no costs if you consistently achieve 90 or better in Circle of Excellence judgings*. (Emphasis added)

This passage follows immediately that in which Mr Stumbles said that the one-for-one proposal was made "very very difficult" by the PRMF Act and that Mobil had more work to do on the tenure for performance reward. In the first sentence set out above he says that the stage reached as at the time of the Convention was that "maybe" the only scheme consistent with the PRMF Act is a nine-for-six one.

The terms of the first sentence ("we have more work to do", "where we're at [499] the moment", "maybe") are not those of a present offer. That the first sentence is not to be understood as representing a commitment by Mobil is also made clear by the second and emphasised sentence: that sentence marks a passing from a statement of what Mobil is not prepared to commit itself to, to the language of commitment. The passage set out above is in fact as consistent with a rejection of a nine-for-six scheme as it is with a countenancing of it.

The import of the second and emphasised sentence, read in the context of the problems previously outlined by Mr Stumbles, is that while Mobil could not promise an extension of tenure for any particular period, and, concomitantly, could not define the degree of "consistency" of attainment of 90 per cent or better in Circle of Excellence judgings to be achieved, it could and did assure franchisees that it would find some way to grant some extension automatically and without cost if a dealer achieved some degree of consistency of 90 per cent or better scores in those judgings. No doubt, the reference to "commitment" was taken seriously and was intended to be taken seriously. The sentence quoted came at the end of Mr Stumbles' references to the problems which had prevented Mobil from implementing a simple one-for-one plan. He must also have known of

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the unsatisfactorily discriminatory nature of the nine-for-six alternative. Yet he wished to finish on a positive, reassuring note. The best that he could fairly manage was the sentence in question. But in our respectful opinion, an offer of a promise to "find a way" to "extend [for an unspecified period]" a dealer's tenure if the dealer "consistently [over some undefined period]" achieved 90 per cent or better in Circle of Excellence judgings, is simply too vague and uncertain to be capable of giving rise to contractual obligation. Nor do we think that the sentence can be construed with that which immediately preceded it, to indicate that Mobil would grant a nine-for-six extension if it should conclude that this was the only lawful way to provide a reward of tenure for performance.

We have reached this conclusion as a matter of construction of Mr Stumbles' address and have taken into account the accompanying captions, including that reading:

> 90 or better for 6 years
> Automatic 9 year renewal.

We need not repeat what we said earlier about the role of the screened captions. [The address was punctuated by captions flashed onto a screen at the front of the room in which dealers were having breakfast.]

Certain circumstances extrinsic to Mr Stumbles' speech may be noted. First, the second and emphasised sentence set out above was the only passage from Mr Stumbles' speech which was communicated by means of the "Convention highlights" video and the September 1991 issue of the "Mobil Marketer". Accordingly, in respect of persons who did not attend the Convention (with the exception of Mr Morris of Lyndel who saw a screening of the entire address), it is quite impossible to construe what they heard and saw as an offer of a nine-for-six promise ….

The learned trial judge emphasised that Mr Stumbles intended his speech to be taken seriously and acted upon, and that he was, for the purpose, the "mind" of Mobil. His Honour said of Mr Stumbles: "He intended, and so Mobil intended, that his offer of tenure for performance would motivate franchisees to improve their businesses; and he believed this "would in turn improve Mobil's business"."

[500] Referring to the tear-off slip, his Honour said: "Franchisees were asked to commit themselves in writing to "accept the challenge to exceed 90 in Circle of Excellence judging and qualify for extra tenure." This is the language of mutual commitment."

Notwithstanding Mr Stumbles' intention and the "commitment" sought by means of the completion and return of the tear-off slip, in our respectful view, the problem remains for the franchisees' case in contract, that neither the terms of the speech nor those of the tear-off slip were sufficiently certain to give rise to a contract.

What we have said above addresses the question whether there was an offer of a one-for-one or nine-for-six promise to be accepted by performance of an act to be found in Mr Stumbles' speech. We will deal later with the separate question whether Mr Stumbles' address laid sufficient foundation to activate an estoppel or to support the claim under s 52 of the [Trade Practices] Act.

It will next be necessary to consider other contractual issues which would arise if, contrary to our conclusions expressed above, Mobil did, through Mr Stumbles' speech, offer the nine-for-six promise.

Revocation of offer

Mobil submits that even if Mr Stumbles' speech could be characterised as containing an offer of a nine-for six-promise:

(a) Mobil revoked the offer before the earliest time when acceptance could have occurred (1997);

(b) the offer was not accepted because none of the five franchisees in question attained 90 per cent or better in Circle of Excellence judgings in all six years 1992, 1993, 1994, 1995, 1996 and 1997; and

(c) specific performance was not an available remedy in all the circumstances.

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These submissions raise several issues relating to unilateral contracts.

A unilateral contract is one in which the act of acceptance of the offer is also an executed consideration for the promise offered. The act of acceptance called for by the offer, once completed by the offeree, leaves the contract executory only on the part of the offeror. A familiar illustration is the offer of a reward for the return of lost goods or for the provision of information. The supposed nine-for-six promise was the offer of a reward (nine years free tenure) in return for an act (the attaining of 90 per cent or better in Circle of Excellence judging over the six years 1992–1997).

A distinction must be recognised. In the case of some unilateral contracts, it may remain within the offeree's power unilaterally to complete the act of acceptance, and thereby to furnish the executed consideration sought, that is to say, without the necessity of cooperation by the offeror and even notwithstanding a purported revocation of the offer. An example is the furnishing of sought information by posting it in an envelope addressed in a particular way. There may also be a case (it is, perhaps, difficult to imagine one) in which the offeror may prevent the offeree from completing the act of acceptance, and thereby furnishing the executed consideration sought, yet the offer will be held not to have been revoked. In the present case, Mobil made it clear to its dealers that its supposed nine-for-six-offer was revoked. But, in addition, by terminating the system of Circle of Excellence judgings, it made it impossible for its dealers to complete the act of acceptance called for by that supposed offer. In the present section of these reasons, we address only the question whether Mobil effectively revoked its supposed offer.

[501] … It will be recalled that it was in January 1996 that Mobil announced, without giving reasons, the abandonment of the Circle of Excellence awards. The sequence of events, then, is that there was a purported revocation after which Mobil made it impossible for franchisees to complete the act of acceptance by attaining 90 per cent or better in Circle of Excellence judgings in the last two of the six years (1996 and 1997).

His Honour referred to discussions of the question whether an offeror of a promise for an act can effectively revoke the offer where performance of the act of acceptance has been embarked upon but not completed. He referred to Cheshire & Fifoot, *The Law of Contract* (2nd ed), pp 137–9; Carter & Harland, *Contract Law in Australia* (3rd ed), pp 67–9; *Abbott v Lance* (1860) 2 Legge 1283; *Daulia Ltd v Four Millbank Nominees Ltd* [1978] Ch 231; and *Veivers v Cordingley* [1989] 2 Qd R 278. He considered that the weight of authority was in favour of the proposition that: "… a person who makes an offer susceptible of acceptance by performance of an act, may not revoke that offer after the offeree has embarked upon performance of the act."

While his Honour thought that there was some difference in the authorities as to the proper juristic basis of this proposition and that "in a technical sense" he was not bound to follow the decisions to which he referred, he considered that he should follow them unless positively satisfied that they were wrong. He recorded that he was not so satisfied.

We would make several observations at the outset. It has been suggested to be unjust that an offeror should be at liberty to revoke the offer once performance of the act, which is at once the act of acceptance and the executed consideration, has commenced. This proposition is usually stated as if its truth were self evident and universal. We do not think that it is either.

(a) The respective positions of offeror and offeree vary greatly from the case of one unilateral contract to another. The following factors illustrate:

  (i) the offeror may or may not know that the offeree has commenced performance;

  (ii) the offeree may or may not have an understanding that the offeror is at liberty to revoke and that any incomplete performance of the act of acceptance by the offeree will be at his or her risk;

  (iii) the notion of "commencement of performance of the act of acceptance" or "embarking upon the act of acceptance" is problematical and can lead to a result which is unjust to the offeror. [502] By reference to the facts of the present case, could it be suggested

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that attainment of 90 per cent in the first year or even perfect operation of a service station for a day, a week or a month, albeit by reference to the offer, represents a commencement of attainment of 90 per cent in all six years so as immediately to bind Mobil not to revoke?

(iv) the act called for by the offer may be detrimental to the offeree, or of some benefit to the offeree as well as to the offeror, as in the present case;

(v) although the offeree is not obliged to perform, or to continue performing, the act of acceptance and is at liberty to cease performing at any time, ex hypothesi, the offeror remains bound, perhaps over a lengthy period as in the present case, to keep its offer open for completion of the act of acceptance, without knowing whether the offeree will choose to complete or not to complete that act;

(vi) the circumstances of the particular case may or may not, by reference to conventional criteria, suggest that the parties intended that the offeror should not be at liberty to revoke once the offeree had performed the act of acceptance to some extent. We do not accept that it is universally unjust that an offeror be at liberty to revoke once the offeree has "commenced" or "embarked upon" performance of an act which is both the sought act of acceptance of the offer and the sought executed consideration for the promise.

(b) A juristic basis which has been suggested to support the general proposition is that of an implied ancillary unilateral contract by which the offeror promises not to revoke once the offeree commences the act of acceptance of the principal offer. But even if such an ancillary contract should be implied in all cases, it is one thing to say that there is a contractually binding promise not to revoke and another thing to say that a purported revocation will be ineffective. The normal remedy for a revocation in breach of the ancillary contract would be an award of damages, the amount of which would be assessed, no doubt, by reference to the prospect that the act of acceptance would have been completed, and, by the same act, the offered promise duly "paid for". No doubt it might be possible for the offeree to seek specific relief in the form of an injunction restraining the offeror from revoking the offer and from preventing the offeree from providing the executed consideration. In the present case, the franchisees did not seek orders that Mobil maintain its Circle of Excellence judgings and that it not act upon or implement its purported revocation. Perhaps no one thought of doing so. Perhaps the view was taken that an application for such relief would probably fail. We make no comment as to the prospects of success which any such application would have enjoyed.

(c) It seems that the general undifferentiated proposition could produce unintended and unjust results. Assume that X made a public offer of payment for the collection and supply of information of a kind described in the offer; that A, B and C embark upon collecting the information; and that A supplies it to X. According to the general proposition, X is bound not to revoke the offer made to B and C, notwithstanding the inutility of their subsequently supplying to X the information that A has already provided. It may be replied that the terms of the offer would include an [503] implied qualification. But this very response bespeaks the inadequacy of a universal rule.

… [505] In *Veivers v Cordingley*, McPherson J [said]:

> There can be no doubt that, ordinarily an offer can be withdrawn before acceptance. It may well be a different matter if, in the case of what is commonly called a "unilateral contract", the promisee has already entered upon the act which, when completed, will constitute acceptance of the promise. The question has been much debated by text writers. The authorities in point are usefully collected in an article by Mr CD Gilbert in 46 ALJ 522, particularly at 525–6. The only decision directly in point is that of the Supreme Court of New South Wales in *Abbott v Lance* (1860) 2 Legge 1283, which was a decision of the court in Banc comprising Dickinson ACJ and Wise J …

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> It seems to me that the decision in *Abbott v Lance* is authority for propositions that, although as a general rule an offer may be retracted before acceptance, yet, if it takes the form of an offer in exchange for the doing of an act or acts, then: (1) acceptance takes place when the offeree "elects" to do the relevant act or acts; and (2) the offer becomes irrevocable once the act or acts, which will constitute consideration for the offer, have been partly performed. Applied to the present circumstances, the decision in *Abbott v Lance* would carry judgment for the plaintiffs Veivers in this case …. On the authority of *Abbott v Lance*, I consider that it was then no longer open to Cordingley to retract his promise …, and that he was bound to perform it by paying the sum of $200 000 if and when Veivers succeeded in obtaining approval from the Council.

[506] … For the reasons indicated earlier, we do not accept that there is a universal proposition that an offeror is not at liberty to revoke the offer once the offeree "commences" or "embarks upon" performance of the sought act of acceptance (being also the sought executed consideration for the offered promise). If and to the extent that any of the authorities to which we have referred say otherwise, we would respectfully disagree. In any event, even if it be assumed that an offeror has impliedly promised not to revoke in consideration of a commencement of performance of the act of acceptance, it would not follow that a purported revocation would be ineffective. On the contrary, in the absence of specific relief in respect of that promise, the offeror's revocation would be effective, although leaving the offeror liable in damages.

It should not be thought that the absence of a universal rule is unjust. In the circumstances of a particular case, it may be appropriate to find that the offeror has entered into an implied ancillary contract not to revoke, or that the offeror is estopped from falsifying an assumption, engendered by it, that the offeree will not be deprived of the chance of completing the act of acceptance.

We see no basis in the particular facts of the present case for concluding that Mobil should be taken to have offered to all those franchisees who would but commence or embark upon performing the prescribed act of acceptance of its principal offer (of a promise of nine-for-six), an ancillary promise not to revoke that offer. Several considerations support this view.

First, there is the problem of the meaning of "commencing" to attain not less than 90 per cent in Circle of Excellence judgings for all of the six calendar years 1992 to 1997. We referred, in a general context, to the nature of the problem earlier. In addition, there is a particular question arising from the nature of the specified act of acceptance in the present case: whether there can be a "commencement" only if at least one attainment of 90 per cent occurs. Perhaps, by reason of the nature of the act of acceptance (attaining 90 per cent or better in each of six successive years) mere "working towards" attaining that judging result counts for nothing in the present context. Mobil should not lightly be taken to have intended to be bound not to revoke its principal offer in favour of any franchisee who performed such an ill-defined act as "embarking upon" or "commencing" attainment of 90 per cent or better in Circle of Excellence judgings in the six years 1992–1997.

Secondly, while it is true that even part performance of the act of acceptance would be of some benefit to Mobil, it would not be only to the benefit of Mobil and to the detriment of the franchisee. Mobil was inviting franchisees to embark upon a course which would benefit both parties. In these circumstances, the case for holding Mobil bound by an implied promise not to revoke is the less strong.

Thirdly, it is unlikely that Mobil meant to promise not, throughout the period 1992 to 1997, to revoke an offer of nine years free tenure, to a franchisee which had already made the following promise to Mobil:

> (3) Adherence to Mobil Team Pak Standards
>
> Dealer acknowledges that its adherence and the adherence of other [507] Mobil dealers at all times to the Team Pak Standards, and to the policies and other requirements of the Team Pak Program is essential for the success, goodwill and reputation of the Mobil Dealer

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> network and Mobil System and the Team Pak Program. Dealer therefore agrees to comply at all times during the life of this Agreement with the Team Pak Standards, as amended and updated from time to time. Likewise, Mobil agrees to comply with its part of those Team Pak Standards.

This standard provision of the Mobil Team Pak Agreement is in fact copied from subcl 4(3) of the Mobil Team Pak Agreements dated 18 May 1990 and 12 November 1993 between Mobil and Lyndel. Whatever its technical effect for the presence or absence of consideration, the existence of this contractual obligation suggests, on the assumption that franchisees attempted to comply with it, that "to commence to attain 90 per cent or better" would involve little or no actual detriment to franchisees – his Honour found that little or no detriment had been established (see later under "Promissory estoppel issues").

In our respectful opinion, the trial judge erred in holding that Mobil was not at liberty to revoke its supposed offer of a nine-for-six promise, as made to those franchisees which had embarked upon the stipulated act of acceptance of that offer …. [508]

The stipulated executed consideration (and acceptance of the offer) was not furnished

Three issues arise in connection with the furnishing of consideration.

(1) The first is that Mobil submitted to the trial judge, and submits on the appeal, that the franchisees were already legally obliged to attain 90 per cent or better in Circle of Excellence judgings, because they were obliged, under the Team-Pak scheme, to do all the things which would have earned scores of 100 per cent. His Honour dealt with this submission shortly: "But none of the franchisees was under an extant obligation to achieve any particular level of performance in the Circle of Excellence awards." We deal below with the similar submission that in view of their existing contractual obligations, the attainment of 90 per cent or better in Circle of Excellence judgings could not constitute "detriment" for the purpose of the doctrine of promissory estoppel. Substantially for the reasons there set out, we are of the opinion that the franchisees' performance did not attract the rule that performance of an existing contractual obligation owed to the promisor cannot qualify as valuable consideration ….

(3) Mobil submits that the franchisees were not entitled to nine years additional tenure because they did not furnish the only consideration stipulated as the price of obtaining such tenure, namely, the attainment of 90 per cent or better in Circle of Excellence judgings over all six years, 1992–1997. We accept this submission and deal with it under the next side heading. [509]

The award of specific performance in the absence of the stipulated executed consideration (and acceptance of the offer)

With respect, it was erroneous to treat Lyndel, Thorpe and Wellcome as having attained 90 per cent or better in all six years: they did not do so or even promise to do so. They had therefore not done or even promised to do the one and only act for the doing of which Mobil had offered its promise. Unlike, for example, payment of money, the attainment of 90 per cent or better in Circle of Excellence judgings over six years was something which they were not able unilaterally to tender. An order for specific performance of Mobil's supposed nine-for-six promise was, in the circumstances, not available in the absence of the actual furnishing of the agreed consideration for that promise: the attainment of 90 per cent or better in Circle of Excellence judgings in all of the years 1992 to 1997: see *Colly v Overseas Exporters* [1921] 3 KB 302 at 310–11; *Heyman v Darwins Ltd* [1942] AC 356 at 371 (Lord MacMillan); *Plaimar Ltd v Waters Trading Company Ltd* (1945) 72 CLR 304 at 318; *Automatic Fire Sprinklers Pty Ltd v Watson* (1946) 72 CLR 435 esp at 465–7 (Dixon J), 476–7 (Williams J); *City Motors (1933) Pty Ltd v Southern Aerial Super Service Pty Ltd* (1961) 106 CLR 477 and *Bolwell Fibreglass Pty Ltd v Foley* [1984] VR 97 at 112 (FC) (Brooking J).

The foregoing propositions hold good, even if it be correct that Mobil had impliedly promised not to revoke its offer. With respect, we think that, given the other conclusions of the trial judge in favour of Lyndel, Thorpe and Wellcome, the appropriate course was for his Honour to make an award of

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damages for any loss and damage which Mobil's repudiation of the ancillary contract caused each of them to suffer. The amount of damages would have been based on the value of the lost opportunity of obtaining the additional nine years tenure. The assessment would have had to allow for the possibility that the franchisee would not have continued to score 90 per cent or better in 1996 or 1997 or both, and so failed to "win" any additional tenure.

The franchisees did not seek an order compelling Mobil to continue with Circle of Excellence judgings promptly after the abandonment of those judgings was announced early in 1996, and they have not done so since. We make no comment as to whether Mobil's supposed implied promise to provide those judgings from 1992 to 1997 was a promise which, of its nature, would have been susceptible to an order for specific performance. The franchisees sought specific performance only of the principal promise, relevantly, to grant nine years tenure. They were not entitled to that remedy in circumstances in which they had not furnished, and were not in a position to furnish, the consideration for it. Therefore, they were not entitled to the order which the learned trial judge made that Mobil grant them a renewal for nine years …. [510]

3. Promissory estoppel issues

General principles

[3.80] The principles on which remedies based on equitable estoppel, including promissory estoppel, are available are by no means clear or precise. This is reflected in the substantial developments in the case law, particularly over the past two decades, and in the extensive range of discussions and articles on this topic over that period. The relief is broadly grounded in the notion of unconscionability, but the ways in which the principles are applied to specific circumstances have been the subject of differing formulations. This area of equity is still in the process of development and extension ….

In *Austotel*, a decision discussed by the trial judge in some detail in his preliminary reasons in this case, Priestley JA considered the line of authority in relation to estoppel, which had developed from the Privy Council decision in *Plimmer v City of Wellington* (1884) 9 App Cas 699. Although, in the final result, Priestley JA dissented, his distillation of the relevant principles was accepted as "cogent" by a Full Court of this Court in *S & E Promotions Pty Ltd* at 653. He considered that *Plimmer* was (at 604):

> … a clear example, where a plaintiff, despite being unable to point to some agreement which, although unenforceable, contains precise terms describing what he expected from the defendant, has nevertheless been held to be entitled to equitable relief which may be of a proprietary kind.

He then formulated the relevant proposition as to equitable estoppel in the following terms (at 610):

> For equitable estoppel to operate there must be the *creation or encouragement* by the defendant in the plaintiff *of an assumption* that a contract will come into existence or a promise be performed *or an interest granted to the plaintiff* by the defendant, and reliance on that by the plaintiff, in circumstances where departure from the assumption by the defendant would be unconscionable. (Emphasis added)

…

The representations

In our view, for the purpose of determining the estoppel submission, it does not matter whether the formulation of Brennan J in *Waltons* or that of Priestley JA in *Austotel* is applied. While the difference may, in particular cases, lead to different results, in the present case it does not. On either approach, it is a necessary element of the principle that the defendant has created or encouraged an assumption that "a particular legal relationship" or "an interest" would arise or be granted by the respondent if certain things are done or not done by the applicant in reliance thereon and that it is contrary to good conscience for the defendant to depart from the assumption.